was the equally suffocating state controls due to the Indian government's socialist policies. After India gained independence in 1947, steel manufacturing was reserved for the public sector and brought under the all-encompassing administrative control of the Government of India.

With so many controls, there was no incentive to strive for market profits. It became a 'dull' company with a 'government outlook', remarks Muthuraman, former MD of Tata Steel. The combined effect was that during the last decade before liberalization, the performance of the steel giant had particularly slumped. The net profit after tax (NPAT) of the company had shrunk to as low as Rs 20.01 crore in 1984. Such meagre profits also left very little funds for either R&D or modernization. The first two phases of modernization, which were completed by 1988, were also limited in scope.

Russi Mody, who was at TISCO's helm for nearly two decades, first as its MD and then as its chief managing director, had little time or appetite for planning for long-term goals. If Mody's public relations, management skills and capacity to work the crowds were awe-inspiring, his strategic planning left a lot to be desired. He was not a man of details. His inability to give the company a strategic vision would perhaps be counted as his most glaring shortcoming. Another serious drawback of his management style was that he allowed the workforce to swell to such levels that the organization itself could not keep count of the number of employees on its rolls, wrote a leading American business-growth expert, Geoff Colvin, and the editors of *Fortune* magazine.

'With huge support from JRD, he [Mody] kept the company alive' but by the time liberalization came about, 'he brought the company to near death', comments Ishaat Hussain.

When Mody finally gave up the reins at TISCO, he left the company without a clear direction. Consequently, the company's future looked 'bleak', remarks Hussain. 'The product mix was terrible—it was 70 per cent semis—the plant was old, it had old technology, was badly overmanned and we had an existential crisis,' he adds. In the first half of 1992–93, TISCO slipped into the red. *The Observer* wrote, 'TISCO ran up [an] accumulated [loss] of Rs 40 crore in the first three months (April–June), 1992'.

TISCO's annual production had stagnated at nearly a meagre 2 metric tonnes (MT), while the cost of production continuously rose. The *Far Eastern Economic Review* commented that it was 'essentially dead in the